

Assessment 2

Industry and Employment Report Evaluation of Western Metro region of Melbourne metropolitan

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1. Introduction

1.1 Context and objectives

The economic development of the area drives the urban development of that area and in turn the urban development and the planning policies inform and support the economic development. Policy makers, scholars and analysts study the economic profile of the area to develop the policies that support sustainable development of the place. This report presents an evaluation of the primary industry cluster and employment hub located in the Western Metro region of the Melbourne metropolitan area. The objective of this report is to construct a comprehensive analysis and a series of recommendations to support a robust and resilient employment sector or area strategy in light of post-pandemic economic shifts and the challenges posed by climate change. This report will specifically concentrate on the planning strategies devised for the industries and employment sectors within Brimbank City Council.

1.2 Navigating the report structure

The report is structured as follows:

1. Introduction – provides context and background
2. Understanding Western Metro Region- identifies key economic trends
3. Strength, Weaknesses and Opportunities- details the findings of the comparative analysis
4. Next steps- presents a series of future recommendations

1.3 Western metro region study area

An economic profile analysis was conducted for the Western Metro region of the Melbourne metropolitan area, examining the industrial and occupational makeup of the labour market and identify the areas of competitive advantage. Transformational projects like Metro Tunnel, West Gate Tunnel, Melbourne Airport Rail and Suburban Rail Loop is about to enhance the economic advantages of the Western metro region. This area is set to evolve into a central hub supporting metropolitan activity centres, health and educational precincts, as well as industrial precincts of state and regional importance, along with National Employment and Innovation Clusters (NEICs). The Western Region boasts a historical presence of transport, logistics, and manufacturing industries. As per Melbourne's future planning framework for 2023, the establishment of NEICs in Sunshine and Werribee is anticipated to make substantial contributions to both national and regional economies.

2. Understanding Western Metro Region

2.1 The macro economy overview

The economic profile analysis, focusing on 1-digit level industries of the Western Metropolitan region, highlights Transport, Postal and Warehousing; Wholesale Trade; Manufacturing; Construction; and Education and Training as growing base industries. Moreover, Transport, Postal and Warehousing; Manufacturing; and Wholesale Trade industries exhibit a robust local concentration within the area. The Transport, Postal, and Warehousing industry demonstrate significant concentration and dominance, evidenced by a location quotient of 2.20 as shown in Table 1. An analysis of 1-digit occupations within this industry reveals that

Machinery Operators and Drivers, as well as Clerical and Administrative Workers, represent the predominant occupations. In contrast, other dominant industries feature top occupations such as Managers, Labourers, Sales Workers, Technicians, and Trade Workers.

Table 1 Location Quotient; 1 - digit Industry of Employment 2021

Location Quotient						
2021 Top Industry Employment						
		Total Employment			Location Quotient	
ANZSIC	Industry	Australia	Melbourne	Melbourne - West	Melbourne	Melbourne-West
Division C	Manufacturing	714759	169209	22344	1.20	1.37
Division E	Construction	1067645	190432	27231	0.90	1.12
Division F	Wholesale Trade	311863	74053	10100	1.20	1.42
Division I	Transport, Postal and Warehousing	546364	116887	27500	1.80	2.20
Division P	Education and Training	1061320	213266	27591	1.02	1.14

Table 2 Number and Share of Occupations in Transport, Postal and Warehousing Industry 2021

2021 Number and Share of Occupations in Top Industries, Melbourne-West			
Industry: Transport, Postal and Warehousing			
ANZSCO	Occupation	Employment	Share
1	Managers	2396	8.71%
2	Professionals	655	2.38%
3	Technicians and Trades Workers	843	3.07%
4	Community and Personal Service Workers	136	0.49%
5	Clerical and Administrative Workers	5145	18.71%
6	Sales Workers	556	2.02%
7	Machinery Operators and Drivers	16245	59.07%
8	Labourers	1102	4.01%
	Inadequately described	355	1.29%
	Not stated	62	0.23%
Industry Total		27500	

The Foundational economy approach to economic development emphasizes the significance of producing essential goods and services that directly contribute to human welfare. This includes the provision of necessities such as water, food, and energy, alongside welfare services like healthcare, education, and elderly care. These foundational elements are essential for sustaining and enhancing the well-being of communities. Hansen T., in 2022, underscores the importance of goods and services meeting local demand to foster consistent economic development. In the Western Metro region, there's a noticeable deficit in the local concentration of industries such as Electricity, Gas, Water, and Waste Services; Accommodation and Food Services; and Health Care and Social Assistance, leading to their inability to fulfil local demand. However, the Education and Training sector barely manages to meet local demands.

2.2 Brimbank City Council

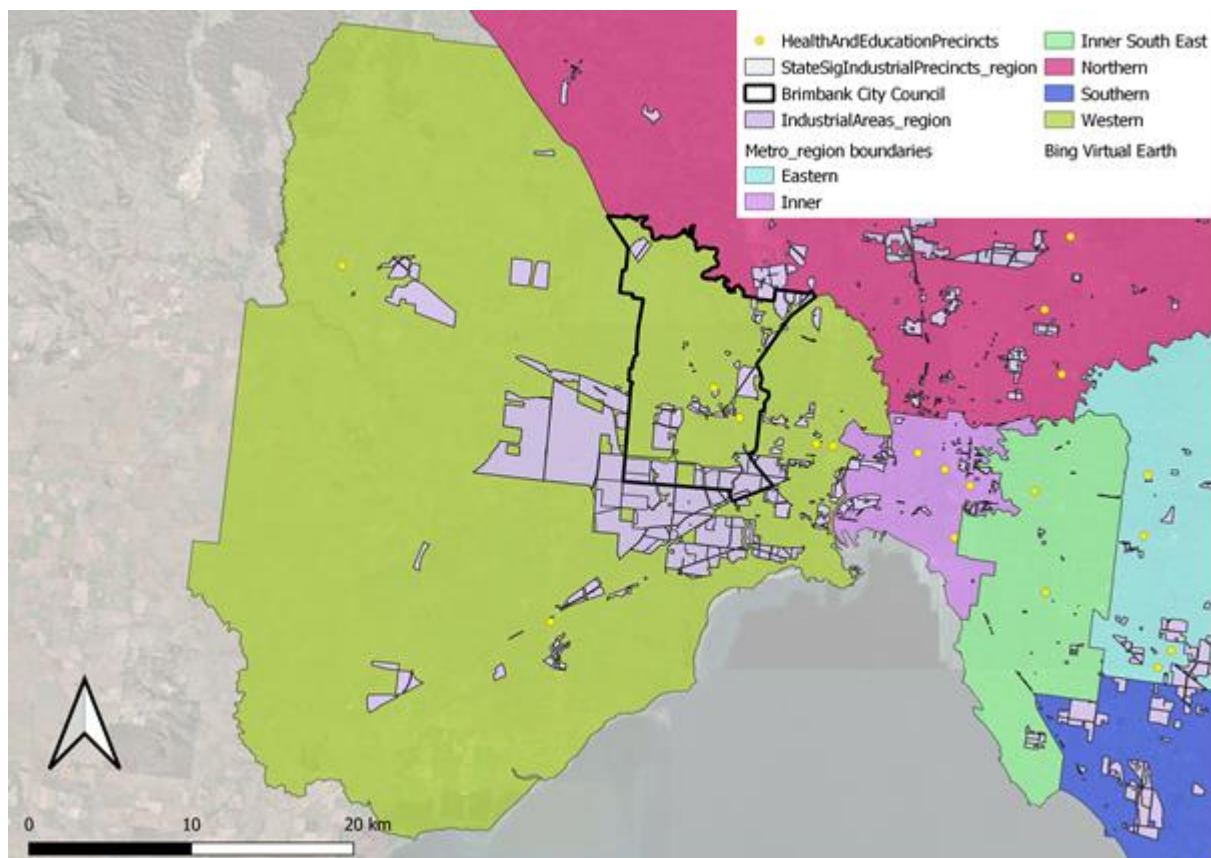


Figure 1 Brimbank location within Western Metro region

The Brimbank City Council, situated within the Western Metro Region, is selected as the focal point for evaluating the industry and employment landscape within the Melbourne metropolitan area. Brimbank serves as a pivotal hub, offering opportunities for economic development. This is attributed to various factors, including the presence of the Sunshine Metropolitan Activity Centre, an Education precinct housing Victoria University, a Health precinct hosting Sunshine Hospital, an Industrial precinct of state and regional significance, and the Sunshine National Employment and Innovation Cluster (NEIC). Situated within the Sunshine NEIC, the Sunshine Health Wellbeing and Education Precinct (SHEWP) serves as a thriving hub for medical, health, community, education, and research services. With an established presence and continual growth, SHEWP plays a crucial role in catering to the diverse needs of the community while fostering advancements in healthcare, education, and research. As a focal point for substantial transport investment, which includes the implementation of the Western Rail Plan and the establishment of the Melbourne Airport Rail Link and Sunshine Super Hub, the Sunshine NEIC holds immense potential to attract significant investment and development. This, in turn, paves the way for expanded employment opportunities and enhanced business prospects within the area. (National Employment and Innovation Cluster, Brimbank, n.d.). Commercial offices and retail premises are primarily concentrated within three key town centres: Sunshine, St Albans, and Sydenham, all situated within Brimbank. Brimbank boasts one of the most extensive supplies of zoned industrial land in Melbourne's West. These are the key assets influencing Brimbank area.

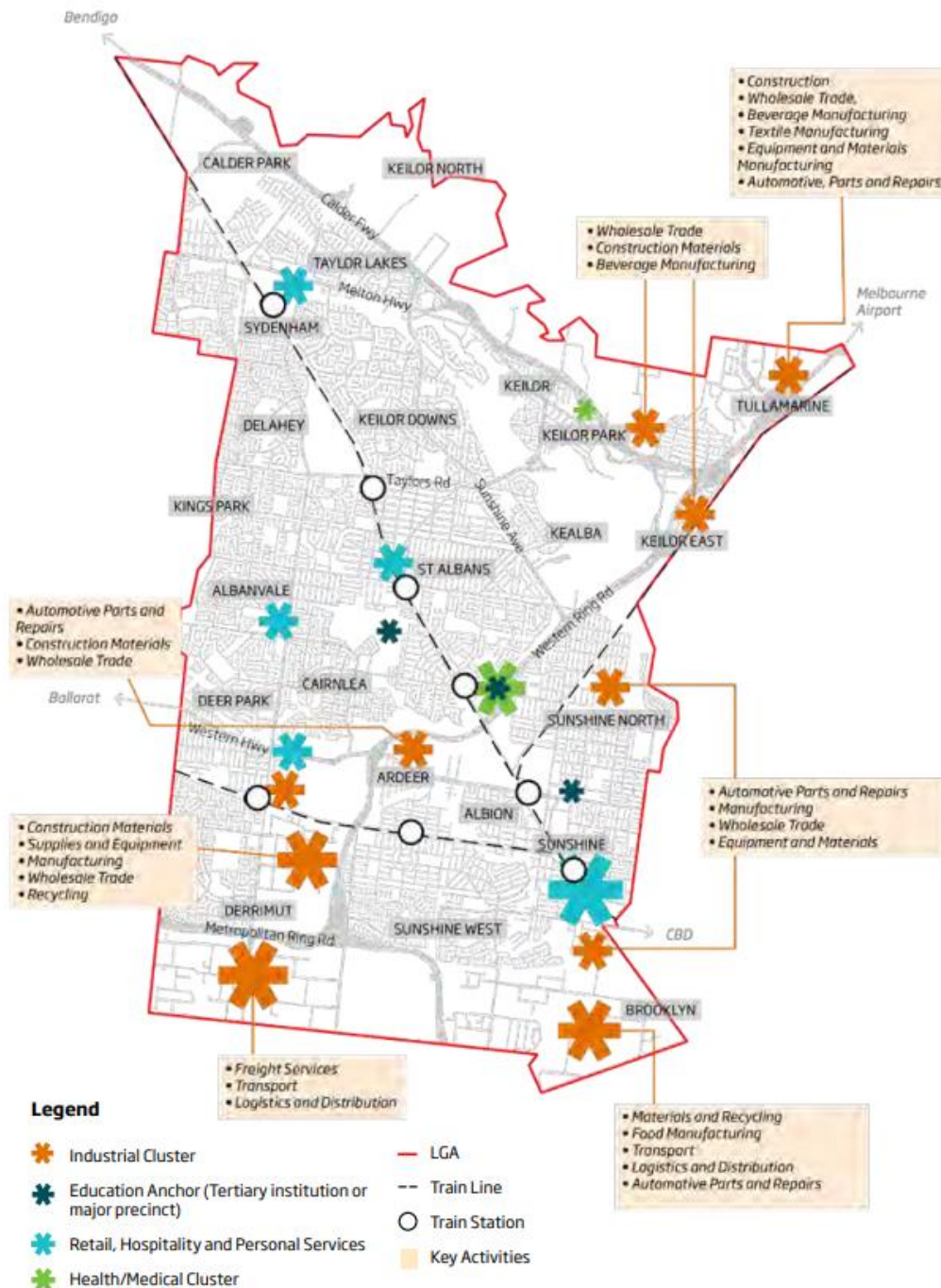


Figure 2 Industry specialisations clusters and anchors (Brimbank Economic Development Strategy, 2022)

2.3 The planning context

Brimbank's economy thrives on its diversity and resilience, encompassing key traditional sectors as well as innovative and dynamic growing sectors. These include manufacturing, transport, postal and warehousing, healthcare and social assistance, and professional and business services. Additionally, sectors such as construction, education and training, wholesale and retail trade, and accommodation and food services present significant business opportunities within the region. (Key Industry Sectors, Brimbank)

Manufacturing stands as the largest employing and most productive industry in Brimbank. Within this sector, food product manufacturing emerges as the primary source of employment. Brimbank holds a competitive advantage in various manufacturing niches, notably in metal manufacturing, textile and clothing manufacturing, and polymer and rubber product manufacturing. Healthcare and social assistance emerge as the second-largest industry by employment in Brimbank, and it also exhibits the fastest growth rate. Consequently, the Brimbank council has pinpointed the Sunshine Wellbeing and Education Precinct (SHEWP) for future development and expansion, particularly in health, education, and ancillary services.

The state government and local council have collaborated to develop various planning policies aimed at supporting the key assets of the Western Metro region, particularly Brimbank. The state government has formulated the Melbourne Industrial and Commercial Land Use Plan, covering all metropolitan regions in Melbourne. Simultaneously, the local government has crafted an Economic Development Strategy 2022-27 in response to the macroeconomic trends originated from the COVID-19 pandemic. Additionally, the Sunshine Priority Precinct Vision 2050 serves as the planning document prepared by the local government, outlining the development opportunities for Sunshine in the future. Sunshine is identified as one of the National Employment and Innovation Clusters (NEICs) in Plan Melbourne 2017-2050, and has been the focus of a draft framework plan prepared by the Victorian Planning Authority. Moreover, the West of Melbourne Economic Development Alliance contributed by developing an Economic Development Strategy for the West of Melbourne in 2017.

2.4 The government's response

The Melbourne Industrial and Commercial Land Use Plan builds upon the policies and actions outlined in Plan Melbourne 2017-2050 and the Plan Melbourne Implementation Plan. It offers an overview of both current and future requirements for industrial and commercial land across metropolitan Melbourne. By establishing a planning framework, this plan enables state and local governments to effectively strategize for future employment and industry needs, thereby enhancing informed decision-making regarding strategic directions.

The guiding principles for future planning of industrial and commercial land encompass key elements such as:

1. Ensuring an Adequate Long-Term Supply: Industrial and commercial land will be allocated to support future industry and business needs, guaranteeing sufficient supply over the long term.
2. Recognizing and Retaining Economic Contributions: The ongoing economic services and employment opportunities provided by industrial and commercial areas will be acknowledged and preserved as vital economic assets for local communities.
3. Supporting Innovation and Growth: Planning initiatives will actively support industry and business innovation and growth within designated areas, fostering an environment conducive to progress and development in these sectors.

The aim of the Brimbank Economic Development Strategy 2022-2027 is to foster growth and support the local economy through initiatives focused on business development, investment attraction and facilitation, as well as employment participation and growth. Similarly, the vision of the Sunshine Priority Precinct, situated within the NEIC, is centred on transforming Sunshine into a vibrant and densely populated urban environment. This vision includes providing high-quality affordable housing options and fostering strong employment growth

within the precinct. This economic development strategy builds upon Brimbank's existing economy, where it currently accommodates 21% of local jobs and 19% of businesses within Western Melbourne. The top three highest employing sectors in Brimbank are manufacturing, transport, postal and warehousing, and construction. These industry sectors also benefit from a significant local concentration within the Western Metro region, further enhancing their economic impact and potential for growth. Manufacturing is a highly specialized sector within the area, encompassing a diverse range of activities. Primary manufacturing activities in Brimbank include food production, equipment manufacturing, machinery fabrication, furniture production, polymer and petrochemical processing, fabricated metal production, transport equipment manufacturing, as well as clothing and textiles manufacturing. (Economic Development Strategy). The strategy highlights several factors essential to the future success of the industry. These factors include ensuring access to skilled and productive labour, implementing efficient regulatory mechanisms, making investments in technology and innovation and establishing favourable trade arrangements. The strategy outlines several key priorities, including economic recovery from the COVID-19 pandemic; business support and development; investment attraction and facilitation; skills, training and job readiness; major precinct and infrastructure development; industrial precincts; activity centres; climate change, the circular economy and green industries; the visitor economy; and strategic partnerships. These priorities collectively aim to drive economic growth, foster resilience, and promote sustainability within the Brimbank community. The strategic document identifies and build on key attributes of agglomeration economies or industrial cluster development.

3. Strengths, Weaknesses and Opportunities

3.1 Strengths and weaknesses

The Sunshine NEIC occupies a central position between the Melbourne CBD and the two western growth areas. Anchored by significant assets such as the Sunshine Metropolitan Activity Centre, Sunshine Hospital, and Victoria University, it boasts excellent access to major road connections and the regional rail network.

The key industrial precincts such as Tullamarine, Keilor Park, and Keilor East benefit from their proximity to Melbourne Airport, Calder Freeway, and Western Ring Road, providing them with excellent access to the major road network and strategic positioning relative to the airport. While this accessibility serves as a strength, these areas are also subject to the Melbourne Airport Environs Overlay, which imposes restrictions on specific land uses within the vicinity. (Department of Transport and Planning, 2023)

The key economic pillars of Brimbank encompass various sectors including industrial, knowledge and professional, health, education and public sector, retail, hospitality, and personal services. Brimbank's economic development strategy focuses on identifying industry specializations, clusters, and their anchors within these sectors. It also formulates strategies for future developments aimed at fostering growth, innovation, and sustainability across these economic pillars. Brimbank faces a higher rate of unemployment compared to Greater Melbourne. To address this, the economic strategy outlines a set of actions aimed at reducing the unemployment rate. These actions include implementing the "Local Jobs for Local People" program (2021), which focuses on creating employment opportunities within the local community. Additionally, the strategy emphasizes the importance of encouraging re-skilling and preparedness to address structural changes in the labour force, ensuring that residents are equipped to navigate evolving job market demands.

Transforming Brimbank Sunshine Priority Precinct document places significant emphasis on developing inclusive and integrated multi-modal transport network strategies. Additionally, it prioritizes the creation of high-quality and sustainable developments, aligning with the goal of moving towards a greener future. (Sunshine Priority Precinct Vision 2050, 2021)

3.2 Opportunities

Sunshine Health, Wellbeing, and Education Precinct (SHEWP) is poised to bolster growth in tertiary education, health-related training, research, health care, retail, and professional services sectors. The proposed Airport Rail Link and the Suburban Rail Loop will serve to amplify opportunities in this region even further, solidifying its position as a thriving hub for education, healthcare, and associated industries. The development of Sunshine Health, Wellbeing, and Education Precinct (SHWEP) holds the potential to cultivate an industry cluster that supports the foundational economy. This industry cluster can play a vital role in supporting welfare services like health care, education and elderly care which are the foundational aspects of economic development.

The proximity of Melbourne Airport presents an opportunity to attract various industry sectors, including manufacturing, tourism, transport and logistics, construction, wholesale trade, warehousing, and distribution. These industries have the potential to form an industrial cluster, leveraging their close proximity to the airport for logistical advantages and connectivity. Moreover, these sectors exhibit higher local concentration, indicating that they are well-positioned to support and enhance the local job market, contributing to economic growth and development in the region.

As outlined in the economic development strategy, the manufacturing sector in the council area presents opportunities in various fields. These include the production of medical equipment, devices, and apparatus, pharmaceuticals, biotechnology products, as well as food and beverage manufacturing. Additionally, there are prospects for manufacturing construction technologies, logistics, and transport technology. These endeavours aim to support the local economy, particularly within the health precinct of the council area. Given the ongoing evolution of the healthcare sector, characterized by the impacts of the COVID-19 pandemic, shortages of skilled staff, an aging population, and advancements in technology driving change, the role of the Sunshine Health, Wellbeing, and Education Precinct (SHEWP) is anticipated to strengthen in the future.

Upon implementation of the strategies outlined in the economic development strategy, Brimbank can expect to see an increase in housing options, employment opportunities, and local job prospects.

4. Next steps

4.1 Key recommendations

To achieve a resilient and sustainable economic recovery from the COVID-19 pandemic crisis, it's imperative to steer clear of reverting to business as usual and investment practices that are environmentally harmful. Failure to address global environmental emergencies such as biodiversity loss and climate change could result in even greater social and economic repercussions than those experienced due to COVID-19. To build a more resilient and strong economy it is necessary to shift towards sustainable practices.

The term "Building Back Better" has gained significant traction in discussions surrounding economic recovery from COVID-19, outlining key dimensions crucial for resilient economic reconstruction. These dimensions include aligning with net-zero emissions, strengthening climate resilience, enhancing supply chain resilience and circularity, fostering innovation based on behavioural shifts, reducing biodiversity loss, and prioritizing people-centered strategies. Central to this concept is the imperative for strategies that prioritize well-being, promote inclusivity, and mitigate inequality, placing people at the forefront of recovery efforts. (Building Back Better: A Sustainable, Resilient Recovery after COVID-19, n.d.)

Resilience to climate change is a pivotal aspect of enhancing the overall resilience of economies and communities. Infrastructure investment plays a vital role in the economic development of regions. However, due to climate change, infrastructure networks face escalating pressure and impacts. Therefore, it's imperative to ensure that infrastructure investments prioritize climate resilience and do not exacerbate exposure and vulnerability to climate risks. New infrastructure projects, including those focusing on low-carbon developments, must integrate resilience measures against future climate impacts by conducting thorough assessments of climate risks throughout the project's lifecycle.

Furthermore, fostering technological and process innovation is essential for achieving climate and other sustainability objectives. Governments play a central role in nurturing innovation ecosystems through their planning policies and documents. By encouraging innovation, governments can drive the development and adoption of sustainable technologies and practices, thereby advancing climate resilience and sustainability goals.

To achieve the target of net-zero emissions for council operations by 2030 and municipality-wide by 2040, the Brimbank Climate Emergency Plan should prioritize developing strategies for existing localized industries to transition towards sustainability. This includes engaging in community outreach to introduce circular economy principles within the industrial sector, thereby fostering the development of green industries. By facilitating this transition, the local government can play a key role in advancing environmental sustainability and reducing carbon emissions within the Brimbank community.

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